

It's based, we believe, on the best practices of multigenerational business-owning families. That doesn't mean that your family needs to own a business to benefit from it. Instead, we found that the principles that helped business-owning families could be used by any family that wanted to preserve wealth.

The first step we took was to have a family meeting and set up the Family Council.

THE HEART OF THE FAMILY OFFICE SYSTEM: THE FAMILY COUNCIL

The Family Council is a group of family members who make executive decisions for the family as a whole. The Family Council determines the success or failure of your legacy over time. It creates and manages all the other soft structures that you will learn about in this chapter. Within the trust framework that we recommend, the Family Council also manages all distributions from family assets. As such, the Family Council is the linchpin of your family office structure.

If you are the person who created the family wealth, you may find the idea of a Family Council a little off-putting. It's your money, after all. Why bring others into the process of deciding what happens to it?

Successful leadership by a family wealth creator is what builds all great family legacies. And wealth creators—in addition to being lucky—tend to be hardheaded. They do not necessarily appreciate others meddling in “their” affairs. They do not necessarily like the windy democracy of family meetings. They may even question the judgment or competence of the people on the Family Council and wonder if they couldn't do better on their own.

You may be that person. You may be the son or the daughter, or the granddaughter or grandson, of that person. Or you may aspire to being a wealth creator yourself. It doesn't matter. What's important to grasp is that